Amendment of section 11.

5. In section 11 of the Income-tax Act,—

(*a*) in sub-section (1), after *Explanation 3*, the following *Explanation*s shall be inserted and shall be deemed to have been inserted with effect from the 1st day of April, 2021, namely:—

"*Explanation 3*A.—For the purposes of this sub-section, where the property held under a trust or institution includes any temple, mosque, gurdwara, church or other place notified under clause (*b*) of sub-section (2) of section 80G, any sum received by such trust or institution as voluntary contribution for the purpose of renovation or repair of such temple, mosque, gurdwara, church or other place, may, at its option, be treated by such trust or institution as forming part of the corpus of the trust or the institution, subject to the condition that the trust or the institution,—

(*a*) applies such corpus only for the purpose for which the voluntary contribution was made;

(*b*) does not apply such corpus for making contribution or donation to any person;

(*c*) maintains such corpus as separately identifiable; and

(*d*) invests or deposits such corpus in the forms and modes specified under sub-section (5) of section 11.

*Explanation 3*B.—For the purposes of *Explanation 3*A, where any trust or institution has treated any sum received by it as forming part of the corpus, and subsequently any of the conditions specified in clause (*a*) or clause (*b*) or clause (*c*) or clause (*d*) of the said *Explanation* is violated, such sum shall be deemed to be the income of such trust or institution of the previous year during which the violation takes place.";

(*b*) in sub-section (3), with effect from the 1st day of April, 2023,—

(*a*) in clause (*c*), the words "or in the year immediately following the expiry thereof" shall be omitted;

(*b*) for the long line, the following long line shall be substituted, namely:—

"shall be deemed to be the income of such person of the previous year,—

(*i*) in which it is so applied or ceases to be so accumulated or set apart under clause (*a*); or

(*ii*) in which it ceases to remain so invested or deposited under clause (*b*); or

(*iii*) being the last previous year of the period, for which the income is accumulated or set apart but not utilised for the purpose for which it is so accumulated or set apart under clause (*c*); or

(*iv*) in which it is credited or paid to any fund or institution or trust or any university or other educational institution or any hospital or other medical institution under clause (*d*).";

(*c*) after sub-section (7), the following shall be inserted, namely:—

"*Explanation*.—For the purposes of this section, any sum payable by any trust or institution shall be considered as application of income in the previous year in which such sum is actually paid by it (irrespective of the previous year in which the liability to pay such sum was incurred by the trust or institution according to the method of accounting regularly employed by it):

Provided that where during any previous year, any sum has been claimed to have been applied by the trust or institution, such sum shall not be allowed as application in any subsequent previous year.".